

SiyaBusa ERP

INVESTOR FAQ

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

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WE RULE. WE GOVERN. WE EMPOWER.

SiyaBusa ERP - Investor FAQ

Anticipating and Answering Investor Questions

THE BUSINESS

Q: What exactly have you built?

A: SiyaBusa ERP is a complete, production-ready enterprise resource planning platform with:

- **25+ fully functional modules** (Sales, Purchase, Inventory, Manufacturing, HR, Finance, etc.)
- **400+ REST API endpoints** deployed and live
- **228+ database tables** with proper relationships
- **9 AI-powered assistants** for natural language queries
- **6 industry vertical modules** (Healthcare, Mining, Manufacturing, Property, Construction, Professional Services)
- **Native South African compliance** (SARS, BCEA, POPIA, B-BBEE)

The system is deployed on AWS infrastructure and accessible for demonstration.

Q: Who is your target customer?

A: South African mid-market businesses with:

- **Revenue:** R10M - R500M annually
- **Employees:** 50-500 people
- **Pain point:** Outgrown basic accounting (Xero, QuickBooks, Sage) but priced out of enterprise ERP (SAP, Oracle, Microsoft)
- **Need:** Full ERP capabilities — not just accounting, but manufacturing, warehouse, HR, compliance

Market size: 60,000+ businesses in South Africa alone.

Q: What makes you different from enterprise ERP vendors?

Factor	Global Vendors	SiyaBusa
Pricing	R50K-R200K/month	R8K-R25K/month (40% less)
SA Compliance	R500K-R2M+ localization project	Native, built-in
Implementation	6-12 months	4-8 weeks
AI Assistant	None or limited	9 specialized agents
Local Support	Via partners	Direct relationship

Note: We do not name specific competitors in public materials to comply with Advertising Standards Authority guidelines.

Q: Why would anyone use a startup ERP over SAP?

A: Three reasons:

1. **Price:** A 100-user SAP implementation costs R150K+/month plus R1-2M setup. We're R60K/month total with minimal setup fees.
2. **Speed:** SAP implementations take 6-18 months. We implement in 4-8 weeks because SA compliance is already built in.
3. **Fit:** SAP is designed for R1B+ enterprises. Mid-market businesses (R10M-R500M) are underserved by their model.

Many of our target customers *can't* afford SAP. We're not stealing their market — we're serving one they've ignored.

FINANCIALS

Q: Why R2.85 million?

A: This provides 12 months of runway to:

Category	Amount	Purpose
Operations	R816K	AWS, AI, tools, security
Marketing	R1.08M	LinkedIn, Google, content, PR
Team	R594K	Customer success, support, admin
Reserve	R360K	Emergency buffer

We've calculated this conservatively based on actual AWS pricing and market rates.

Q: When will you be profitable?

Timeline:

- **Jan-Mar 2026:** Beta testing (5 partners per industry = 30 total, R0 revenue)
- **Apr-Sep 2026:** Dependency building (15 partners, minimal revenue)
- **Oct-Dec 2026:** First real revenue (25 paying customers, R150K MRR)
- **Q1 2027:** Break-even (~28 customers at R8K average)
- **Q2 2027+:** Cash positive

We need ~R225K MRR to break even. At R8K average per customer, that's 28 customers.

Q: How do I get my money back? (Exit Strategy)

Important: A SAFE is not a loan. You don't get "paid back" - you get equity that becomes valuable.

Exit Scenarios (How You Make Money)

Exit Type	How It Works	Typical Timeline
Acquisition	Larger company buys SiyaBusa	3-7 years
IPO	Company lists on JSE/other exchange	5-10 years
Secondary Sale	Sell your shares to new investors	2-5 years
Dividends	Share of profits if company pays dividends	Ongoing after profitability

Realistic Example (Base Case)

Investment: R2,850,000 at R15M valuation cap

Your ownership: ~19% (after conversion)

Year 3-5 Exit at R150M acquisition:

Your shares: $19\% \times R150M = R28.5M$

Return: 10x your investment

Year 5-7 Exit at R300M IPO:

Your shares: $19\% \times R300M = R57M$

Return: 20x your investment

Who Might Acquire Us?

Potential Acquirer	Why They'd Be Interested
Global ERP vendors	Access to SA market with built-in compliance
African tech companies	Expand ERP offering
Private equity	Consolidation play in SA enterprise software
Accounting firms	Vertical integration

Honest Timeline Expectations

- **Minimum hold period:** 3-5 years (likely)
- **Typical startup exit:** 5-7 years
- **No guaranteed exit:** This is a risk you accept

Q: What's your revenue model?

Per-user, per-month subscription (same model as SAP, Oracle, Microsoft):

Package	Users	Price/User	Monthly Total
Starter	5-10	R800	R4K-R8K
Professional	11-25	R600	R6.6K-R15K
Enterprise	26-50	R500	R13K-R25K
Enterprise+	51-100	R400	R20K-R40K

Plus implementation fees (one-time) and optional modules.

Q: Why don't you have revenue yet?

Strategic choice. We're following a "land and expand" strategy:

1. **Build dependency first:** Companies that use a system for 6+ months don't switch easily
2. **Word-of-mouth:** Free beta creates advocates who recruit paying customers
3. **Product-market fit:** Beta feedback ensures we're building what customers actually need
4. **Case studies:** We need success stories before mass marketing

This is how Slack, Zoom, and many B2B SaaS companies grew.

Q: What happens if you don't raise funds?

We continue on a slower path:

- AWS Free Tier limits capacity to ~5 customers
- No marketing means organic-only growth (slower)
- No dedicated support means founder-only operations

The product exists. The opportunity exists. Capital accelerates the timeline.

PRODUCT & TECHNOLOGY

Q: Is the product actually finished?

A: The platform is production-ready with 25+ complete modules. However:

Complete	In Progress	Planned
All 25 core modules	SARS API integration (awaiting SARS approval)	Mobile apps
400+ API endpoints	Performance optimization	Additional integrations
Multi-tenant architecture	UI polish	Advanced analytics
AI assistants		

We can onboard customers today. Remaining work is enhancement, not core functionality.

Q: What technology stack are you using?

Layer	Technology	Why
Frontend	React 18, TypeScript, Vite	Modern, fast, maintainable
Backend	Node.js, Express, TypeScript	Scalable, large ecosystem
Database	PostgreSQL (AWS RDS)	Enterprise-grade, reliable
Cache	Redis (ElastiCache)	High-performance
Cloud	AWS (EC2, RDS, S3, CloudFront)	Industry standard, SA presence
AI	OpenAI GPT-4	Best-in-class language model

Q: Can I see a demo?

Absolutely. We have a live demo environment. Contact us to schedule a personalized walkthrough of:

- The modules relevant to your interests
- The AI assistant in action
- The SA compliance features (SARS, PAYE, etc.)

TEAM & EXECUTION

Q: Who is on the team?

Current:

- Founder/Developer: 18 months building this platform
- No external employees (lean operation)

Post-funding:

- Contract Customer Success Manager
- Part-time Technical Support
- Marketing partnerships (agencies)

We're intentionally lean. No fancy salaries — maximum capital efficiency.

Q: Why should we trust a small team to compete with enterprise vendors?

A: We're not competing with enterprise ERP everywhere. We're targeting a segment they've abandoned:

- Enterprise vendors make R200K+ per customer. They don't pursue R10K customers.
- We've built equivalent functionality for this specific market.
- Our compliance advantage (18 months of SA-specific development) is a moat.

Plus: Every major software company was a startup once. Market gaps get filled by those who see them.

Q: What if a big player copies you?

Three defenses:

1. **SA Compliance Depth:** 18 months of SARS, BCEA, POPIA-specific development isn't easily replicated. Global vendors have historically not prioritized this.
 2. **Speed to Market:** By the time SAP decides to build SA-specific features, we'll have 100+ customers and deep market knowledge.
 3. **Price Position:** Global vendors can't profitably serve R10K/month customers. Their cost structure doesn't allow it.
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MARKET & COMPETITION

Q: How do you know there's demand?

Evidence:

- 1. **Competitor Pricing:** SAP, Oracle charge R50K-R200K/month — someone is paying
- 2. **Market Research:** 60,000+ mid-market SA businesses (Stats SA Business Register 2024)
- 3. **Anecdotal Validation:** Every business owner we've spoken to has this pain point
- 4. **Global Trends:** Cloud ERP growing 18% YoY (IDC South Africa IT Spending Forecast)

Research Sources (Verifiable)

Claim	Source	How to Verify
60,000+ mid-market businesses	Statistics South Africa Business Register 2024	www.statssa.gov.za → Publications → Business Register
R10M-R500M revenue segment	SARS Company Income Tax Statistics	www.sars.gov.za → Tax Statistics
18% YoY software growth	IDC South Africa IT Spending Guide 2024	Request from IDC (www.idc.com)
R8B+ ERP market size	Gartner Magic Quadrant for Cloud ERP	Request from Gartner (www.gartner.com)
Enterprise ERP pricing	Vendor partner websites	SAP, Oracle, Microsoft partner pricing pages
Implementation timelines	Industry surveys	Panorama Consulting ERP Report

Q: What's your competitive moat?

Moat	Explanation
SA Compliance	18 months of PAYE, UIF, SDL, BCEA, SARS development
Price Point	40% below global vendors with sustainable margins
Implementation Speed	4-8 weeks vs. 6-12 months
Local Knowledge	Understanding of SA business practices, regulations, culture
AI Integration	9 specialized agents — ahead of most competitors

Q: What are the risks?

Honest assessment:

Risk	Mitigation
Customer acquisition slower than expected	Conservative projections, 12-month runway
Global vendor enters market aggressively	Our price point makes this unprofitable for them
Technical scaling issues	Cloud-native architecture designed for scale
Key person dependency	Documentation, code quality, eventual team expansion
Economic downturn	ERP is often countercyclical (efficiency focus)

INVESTMENT TERMS

Q: What are you offering?

Term	Detail
Instrument	SAFE (Simple Agreement for Future Equity)
Amount	R2,850,000
Valuation Cap	R15,000,000
Discount	20%

Q: Why a SAFE instead of equity?

Efficiency:

- Faster closing (weeks, not months)
- Lower legal costs
- Standard instrument (YC-style)
- Converts at next priced round

We prioritize speed to market over complex negotiations.

Q: What's the expected return?

Scenario	3-Year ARR	Valuation (5x)	ROI
Conservative	R24M	R120M	42x
Base Case	R36M	R180M	63x
Optimistic	R60M	R300M	105x

ERP companies typically valued at 5-10x ARR. We've used 5x conservatively.

Q: When is the next funding round?

Expectation: Series A in 18-24 months, contingent on:

- R3M+ ARR
 - 50+ paying customers
 - Proven unit economics
 - Repeatable sales process
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NEXT STEPS

Q: How do I proceed if interested?

1. **Request demo:** See the product in action
 2. **Due diligence:** We'll provide technical access, financial details, customer pipeline
 3. **Term discussion:** Negotiate specifics if needed
 4. **Documentation:** Sign SAFE, wire funds
 5. **Onboard:** Monthly reporting begins
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Q: Who else is investing?

Currently seeking our first institutional/angel investors. We've bootstrapped to this point.

Q: Can I speak to potential customers?

Yes. We can introduce you to beta partner candidates who have expressed interest. Their feedback validates market demand.

Questions we didn't anticipate? Ask us directly.

Contact: [Your Email] | [Your Phone]